

D.F. YOUNG, INC.,

Complainant,  
v.

NYK LINE (NORTH AMERICA)  
INC.,

Respondent.

JOINT PETITION ADDRESSED TO THE COMMISSION  
FOR APPROVAL OF A SETTLEMENT BETWEEN  
COMPLAINANT AND RESPONDENT AND FOR  
DISMISSAL OF THIS ACTION WITH PREJUDICE  
TOGETHER WITH A MOTION TO MAINTAIN THE  
CONFIDENTIALITY OF THE SETTLEMENT

[46 C.F.R. §§ [502.72](#)(a)(3) and [502.5](#)]

**Public Version - confidential materials excluded**

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CONFIDENTIALITY OF THE SETTLEMENT****[46 C.F.R. §§ [502.72\(a\)\(3\)](#) and [502.5](#)]**

1. **RELIEF REQUESTED:** Pursuant to [Rules 72\(a\)\(3\)](#) and [502.5](#), Complainant and Respondent ask the Commission to issue an Order:
  - (a) Dismissing this Action with prejudice and without costs or attorneys' fees to either Party; and
  - (b) Approving the attached Confidential Settlement Agreement & Release (the "Confidential Settlement"); and
  - (c) That the Settlement be filed on a confidential basis and that its confidentiality be maintained.
2. **THE CONFIDENTIAL SETTLEMENT IS SUBMITTED WITH THIS PETITION:** A true and complete copy of the executed Confidential Settlement is attached to this Joint Petition as an *Addendum* and is being filed on a confidential basis.
3. **THE CONFIDENTIAL SETTLEMENT WOULD END THE DISPUTE:** The Confidential Settlement, if approved, would fully and finally dispose of all issues and disputes that are the subject of this Action.

4. **CONSENT OF BOTH PARTIES:** Both parties consent to the relief requested by this Petition.
5. **HISTORY OF THE CASE:**
- (a) This Action was commenced [January 29, 2016](#).
  - (b) The Complainant (“DFY”), as freight forwarder, sues Respondent (“NYK”), as ocean carrier, for unpaid freight forwarder compensation in the principal amount of \$537,213.33 together with interest, reasonable attorneys’ fees, and additional amounts under 46 U.S.C. 411034(3). See, [Verified Complaint](#).
  - (c) By an [Initial Decision](#) served August 1, 2017, the Administrative Law Judge granted NYK’s Motion for a Summary Decision while denying that of DFY.
  - (d) On September 6, 2017, DFY served its [Exceptions](#) to the [Initial Decision](#) along with a [Motion](#) to Recognize certain terms in NYK’s Tariff and Bill of Lading, or alternatively, to reopen and remand the Action.
  - (e) On October 12, 2017, NYK served its [Reply](#) to the [Exceptions](#) and its [Opposition](#) to the [Motion](#).
  - (e) By [Notice](#) served February 20, 2018, the Commission extended the deadline for issuance of its Final Decision from February 20, 2018 to April 20, 2018.
  - (f) On March 27, 2018, the Parties filed a [Joint Petition](#) asking that a Final Decision in this Action be held in abeyance for 20 days pending the finalization of the Settlement and the filing of a [Rule 72\(a\)\(3\)](#) Petition.

6. **TEXT OF THE RULE:**

- (a) The Parties petition under [Rule 72](#)(a)(3) which reads:

**By order of the presiding officer.** Except as provided in paragraphs (a)(1) and (a)(2) of this section, an action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

- (b) [Rule 72](#)(a)(1) is inapplicable because NYK has appeared in the action.
- (c) [Rule 72](#)(a)(2) is inapplicable because dismissal is based on a Confidential Settlement.

7. **SUMMARY OF GROUNDS FOR PETITION:** There are no impediments to contract formation which would make the Confidential Settlement void or voidable.

- (a) DFY and NYK are large commercial entities of equal bargaining power who negotiated at arm's length, with the benefit of legal counsel.
- (b) The Parties are fully knowledgeable of the facts. The Confidential Settlement comes after extensive discovery, and well-briefed Motions for Summary Decision; resulting in a lengthy and detailed [Initial Decision](#) which was the subject of [Exceptions](#) by DFY.
- (c) Nothing in the Confidential Settlement appears to violate law or public policy.

- (d) It is the Commission's policy to encourage settlements and to allow such settlements to remain confidential.

8. **GROUND FOR THE PETITION:**

(a) **Sophistication of the Parties**

- (i) DFY's web site says it is a "full-service international freight forwarder and customs house broker with a global presence."

<https://www.dfyong.com/corpinfo.asp>

Its corporate headquarters is in Pennsylvania and it has offices in Atlanta, Baltimore, Chicago, Detroit, Philadelphia, and JFK Airport.

[https://www.dfyong.com/ci\\_loc.asp](https://www.dfyong.com/ci_loc.asp)

- (ii) Respondent is the U.S. agent for Nippon Yusen Kaisha--a Japanese ocean carrier in the international commerce of the United States. The carrier does business under the name "NYK Line." Its [F.M.C.](#)

[Organization No. is 001573.](#)

- (iii) In reaching this Confidential Settlement, the Parties each had the benefit of advice from the same undersigned attorneys that have represented them throughout this Action. The undersigned attorneys negotiated the terms and conditions of the Confidential Settlement, subject to their respective client's approval, and drafted the Addendum memorializing its terms and conditions.

- (b) **No Fraud or Mistake.** The extent of the factual discovery and analysis in this case would seem to preclude any prospective objection to contract formation due to fraud or mutual mistake.
- (i) NYK filed its [Answer](#) March 7, 2016 (which was [amended](#) September 30, 2016). The discovery deadline was [extended to November 15, 2016](#). During that time, the Parties exchanged close to 100,000 documents and deposed 8 Party and Non-Party witnesses. The depositions were conducted in Detroit, Secaucus, and Philadelphia, and in the case of nonparty witnesses, were pursuant to subpoenas.
- (ii) The Parties submitted detailed Summary Decision Motions, with both Motions the result of painstaking and careful analysis of the facts by the Parties' respective counsel.
- (iii) In her [Initial Decision](#), Judge Wirth wrote, "The heart of this dispute is a *legal* issue . . . ." and that the [Initial Decision](#) "rules on summary decision motions, where factual issues are not central and the focus is on questions of law . . . ." *Id.*, pp. 1, 4 [*Emphasis added*]
- (c) **No duress or undue influence.** On behalf of their respective clients, the undersigned attorneys certify that:
- (i) Each Party is acting in its own self-interest.
- (ii) Neither Party has been subject to pressure or duress from the other Party.
- (iii) Undue influence is not a factor because neither Party has a special relationship of trust or confidence with the other. See, *In re Mildred*

*M.J.*, [43 A.D.3d 1391](#), 1392-93, 844 N.Y.S.2d 539, 541 (N.Y. App. 2007)  
(Defining “undue influence”).

- (iv) The Confidential Settlement is the result of negotiations between the parties that have been ongoing, off and on, for about one year.

(d) **The Parties have good cause to settle.** Each party has weighed the following factors in determining to settle this Action:

- (i) That the case is more than two years old.
- (ii) That a Final Decision by the Commission can still be appealed to the D.C. Court of Appeals, and from there the losing Party has the right to petition the U.S. Supreme Court for certiorari.
- (iii) That the Parties have incurred substantial costs and expenses of litigation including attorneys’ fees; and wish to avoid further substantial outlays that would become necessary if the case were appealed to the federal courts.
- (iv) That, as in all litigation, the outcome here cannot be guaranteed. Confidential Settlement allows the Parties to avoid that uncertainty and fix their rights by agreement.
- (v) That the losing Party risks being held liable for the opposing Party’s attorneys’ fees which stand to be substantial. See, [Rule 254](#).
- (vi) That the Confidential Settlement involves no admissions of liability.

*See, Addendum, para. 4.*

(e) **Reasonability of Settlement.** Both Parties submit that the terms and conditions of the Confidential Settlement are facially reasonable.

- (i) The Settlement reflects the fair and considered judgment of the relative strengths of their respective positions, the desire to avoid continuing litigation costs and to avoid the risks inherent in litigation.
  - (ii) Nothing in the Confidential Settlement appears onerous, one-sided or unconscionable.
- (f) The Confidential Settlement disposes of a simple claim for monetary reparations. It does not appear to any contravene law or public policy.
  - (i) It defeats none of the purposes of the Shipping Act [[46 U.S.C. 40101](#)] and in particular is not discriminatory.
  - (ii) It does not call for any act or omission that contravenes the Shipping Act's General Prohibitions. See, [46 U.S.C. 41102](#). And,
  - (iii) It does not affect any third parties.
- (g) The Commission has a strong and consistent policy of actively encouraging settlements and engages in every presumption which favors a finding that they are fair, correct, and valid. *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 SRR 975, 978 (ALJ 2002) ([Decision](#), pp. 7, 8).

9. **MOTION FOR CONFIDENTIAL TREATMENT:**

- (a) Dismissal of the Complaint and withdrawal of the Exceptions and Motions are conditioned on both the Commission's approval of the Settlement and its grant of confidentiality. The parties will be unable to resolve the claims if confidentiality is not granted.

(b) The Parties therefore ask that the Confidential Settlement remain confidential. Such confidentiality is one of the terms and conditions of the Settlement [*see, Addendum, para. 3*] and is routinely granted by the Commission.

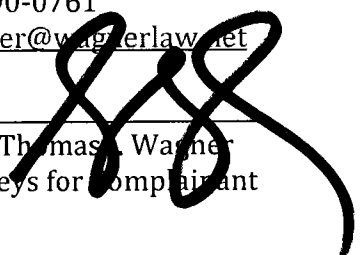
In previous proceedings, requests have been granted to maintain the confidentiality of settlement agreements and the agreements have been approved. [*Citing cases*] The full terms of the Settlement agreement are available for the Commission to consider although they will be maintained confidential pursuant to 46 C.F.R. § 502.119.

*Inlet Fish Producers, supra*, (Decision, pp. 6-7) (Bracketed text ours). The Settlement's confidentiality provision should not be considered as illegal or against public policy because it contains an exception for disclosure required by law. *See, Addendum, para. 3(b)*.

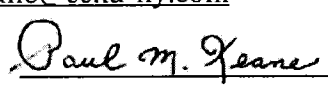
**WHEREFORE**, the parties respectfully request that this Joint Petition be granted.

Dated: April 18, 2018

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**PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED**

**CONFIDENTIAL SETTLEMENT**

**AGREEMENT EXCLUDED**